taking greater fiscal care of the states. And for the first time the states had a net revenue surplus collections in the fiscal 2007–08.[37]

(d) **Focussing on the Social Sector** The social sector (especially the healthcare and education) gets increased attention by the Government with manifold increases in the allocations as well as show of a greater compliance to the performance of the development programmes.

We see mixed results of the second generation reforms though the reforms continue.

Third Generation Reforms

Announcement of the third generation of reforms were made on the margins of the launching of the Tenth Plan (2002–07). This generation of reforms commits to the cause of a fully functional Panchayati Raj Institution (PRIs), so that the benefits of the economic reforms, in general, can reach the grass-root level.

Though the constitutional arrangements for a decentralised developmental process was already effected in the early 1990s, it was in the early 2000s that the Government gets convinced of the need of the 'inclusive growth and development'. Till the masses are not involved in the process of development, the development will lack the 'inclusion' factor, it was concluded by the Government of the time. The Eleventh Plan goes on to ratify the same sentiments (though the political combination at the centre has changed) and view regarding the need for the third generation of reforms in India.

Fourth Generation Reforms

This is not an official 'generation' of reform in India. Basically, in early 2002, some experts coined this generation of reforms which entail a fully 'information technology-enabled' India. They hypothesised a 'two-way' connection between the economic reforms and the information technology (IT)—with each one reinforcing the other.